Part 2 Summary

This section examines how the same 50 companies discuss corporate values in their annual proxy statements from 2016 to 2024. Proxy statements are formal disclosures to shareholders covering the board, executive pay and governance, so they show which themes companies emphasize when reporting to investors.

Data Collection: I used the SEC EDGAR database to retrieve each company's annual proxy statement for all nine years. Because proxy statements are required filings, this produced all 450 company-year observations with no missing files. Where a company faced a shareholder proxy contest, I used the contested proxy statement. I then converted each filing into plain text, removing numerical tables and repeated page headers.

Text Mining Analysis: I measured how strongly each proxy emphasizes the same 10 themes identified in Part 1. Rather than counting words, I calculated the percentage of sentences that mention each theme, so that proxies of different lengths can be compared fairly. I also measured the tone of each filing using the Loughran-McDonald financial dictionary, which identifies positive, negative and uncertain language in financial documents. Together, these give three measures:

Measure	**What it captures**
Theme emphasis	Percentage of sentences in each proxy that mention each of the ten themes
Positive and negative tone	How often companies use positive or negative language
Uncertainty	How often companies use language expressing uncertainty or risk

LLM Validation: Because keyword matching can pick up unrelated uses of a word, I used Google Gemini to check a random sample of matches for each theme. About 70% of the sampled matches were correct overall. Accuracy was high for themes such as integrity and performance but lower for customer focus and diversity, so keyword analysis is a useful starting point but not equally reliable for every theme.

Key Findings: Values language in proxies grew steadily. The share of sentences mentioning sustainability more than tripled, from 1.3% in 2016 to 4.7% in 2023, led by Energy companies; ExxonMobil's rose from 1.7% in 2018 to 17% in 2023, following a 2021 shareholder campaign over its climate strategy. Diversity and inclusion language more than doubled to a peak in 2022, then declined. Proxies also became more positive in tone over the period.

Interpreting the Results: The analysis produces a structured dataset of theme emphasis and tone for each company and year. Because it uses the same ten themes as Part 1, it provides a consistent basis for comparing companies' public statements with their formal disclosures, across sectors and over time.

Limitations: Keyword matches do not always reflect the intended meaning, particularly for customer focus and diversity, and dictionary-based tone analysis cannot account for context or negation. These measures also capture what companies emphasize in their disclosures rather than their actual practices, but they provide a reproducible framework for examining corporate priorities over time.